

OLLSCOIL NA hÉIREANN, CORCAIGH
THE NATIONAL UNIVERSITY OF IRELAND, CORK

COLÁISTE NA hOLLSCOILE, CORCAIGH
UNIVERSITY COLLEGE, CORK

Examination Session and Year	Winter 2019
Module Code	AC2204
Module Title	INTRODUCTION TO MANAGEMENT ACCOUNTING
Paper Number	1
External Examiner	Professor Ivo De Loo
The Head of the Department	Professor Mark Mulcahy
Internal Examiners	Dr Margaret Healy
Instructions to Candidates	Answer three questions in total. Please attempt QUESTION ONE from Section A and TWO questions from Section B. Separate Answer books are NOT required.
Duration of Paper	1.5 hours
Special Requirements	Show your workings; marks will be awarded for workings. The use of a non-programmable calculator is permitted.

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THEN ENSURE THAT YOU HAVE THE CORRECT EXAM PAPER

SECTION A: COMPULSORY

QUESTION ONE

ANSWER ALL PARTS

Links Ltd manufactures and sells kitchen furniture. The following details relate to the budgeted sales of 'Tabla' – a family-sized kitchen table – for the month of January 2020. Budgeted fixed costs per month are expected to be €8,400.

	Per 'Tabla' (unit)
Budgeted sales price per unit	€300
Budgeted variable costs per unit	€125

PART A

Calculate each of the following, showing your workings, for January 2020:

- (i) Breakeven point, in units and in sales revenues;
- (ii) Operating profit, the percentage margin of safety and the degree of operating leverage, if 64 'Tabla' units are actually sold.

(14 marks)

PART B

Management at Links Ltd is considering the introduction of a new product called 'Relaxer'. Designed to match the 'Tabla' product, the 'Relaxer' is a comfortable, functional dining chair, with under-seat storage. The variable cost of each 'Relaxer' is €50 and the anticipated selling price is €90 per unit. Management anticipates selling four of the 'Relaxer' products for each 'Tabla' unit sold. Introducing the 'Relaxer' product would however cause an increase in monthly fixed costs of €1,675. In addition, the budgeted sales price per unit for the 'Tabla' product would fall by €10.

Determine (showing your calculations) each of the following:

- (i) The breakeven level of units to be sold, if the 'Relaxer' is introduced and sold in January 2020;
- (ii) Expected operating profits, if actual sales in January are 160 'Relaxers' and 30 'Tablas'.

(14 marks)

PART C

State and explain three assumptions of cost-volume-profit analysis.

(12 marks)

(Total: 40 marks)

SECTION B

ANSWER ANY TWO QUESTIONS

QUESTION TWO

Nero Ltd commenced operations on 1st November 2018. The company manufactures and sells a single product for which the following information is available for the past financial period (year ending 31st October 2019).

Sales (in units)	4,500 units
Production (in units)	5,100 units
Selling price per unit	€40.00
Variable manufacturing costs	€114,750
Fixed manufacturing costs	€19,890
Variable marketing costs	€19,125
Fixed marketing costs	€20,000

Required:

(A) Calculate the cost per unit and the value of closing stock using:

- (i) Variable costing;
- (ii) Absorption costing.

(6 marks)

(B) Calculate the operating profit using

- (i) Variable costing;
- (ii) Absorption costing.

(18 marks)

(C) Reconcile the profit figures from Part (B) above. In your answer, briefly explain why this difference arises.

(6 marks)

(Total: 30 marks)

QUESTION THREE

Brighton Ltd makes two types of storage units, details of which are given below for the most recent financial period.

	Basic Model	Deluxe Model
Units produced	2,500	1,000
Direct materials per unit	€24.50	€53.00
Direct labour per unit	€28.30	€31.80
No. of units per batch	50	25
No. of accessories per unit	4	17
No. of machine hours per unit	5	15

Production overheads are normally absorbed using a machine hour rate. However, as the company is considering the introduction of an activity-based costing (ABC) system, total production overheads have also been analysed as follows:

<u>Cost</u>	<u>Amount</u>	<u>Cost driver</u>
Machining costs	€206,250	No. of machine hours
Set-up costs	€9,000	No. of production runs
Accessories	€43,740	No. of accessories

Required:

- (A) List and explain the levels of activities in an Activity-based cost (ABC) hierarchy, giving an example of each.

(8 marks)

- (B) Calculate the total costs and the cost per unit for each product using:
- (i) Traditional (absorption) costing, with production overheads allocated based on machine hours;
 - (ii) Activity-based costing, with production overheads allocated based on the cost drivers listed in the question.

(22 marks)

(Total: 30 marks)

QUESTION FOUR

Consider each of the following statements. For each statement, state whether you agree or disagree, explaining your answer in each case.

(A) Cost structure refers to the relative proportions in which an organisation's products are sold.

(B) The following monthly activity levels and associated costs were recorded in 2018.

HIGH: April	2,100 units	Total cost: €62,390.
LOW: August	900 units	Total cost: €35,030.

If it is planned to produce 1,900 units in December 2019, then based on the cost function for 2018, the expected cost is €57,830.

(C) Fixed costs per unit remain constant as the level of activity increases within the relevant range.

(D) At Azure Ltd, manufacturing overhead is 40% of its total conversion costs, direct labour is €18,000 and direct materials are €24,000. On this basis, the manufacturing overhead must be €30,000.

(E) The breakeven point in a capital intensive company will tend to be lower than in a labour intensive company with the same total sales revenue and total expenses.

(5 parts * 6 marks each = Total: 30 marks)